During the cabinet meeting, the question arose as to whether, in the wake of Israel's reoccupation of the Gaza Strip, UNRWA would cease its activities. The given answer was that the United States would not allow this to happen. This question remains hypothetical, as we know, because Israel's desire to retain at least the Gaza Strip in its hands was not realized. American pressure forced Israel to withdraw to its armistice line with Egypt, exactly as it had been before the operation.

In the period between the Sinai Campaign (1956) and the Six-Day War (1967), the issue of the refugees occasionally came up on the Israeli government's agenda. At the October 29, 1961, cabinet meeting, Foreign Minister Golda Meir reported on her meetings with UN envoy to the Middle East Joseph E. Johnson, who had told her that following his meetings with the parties he had gotten the impression that neither side saw the refugee problem as a fundamental issue. He claimed that for Israel the fundamental issue was Israel's existence. And for the Arabs, the fundamental issue was the destruction of Israel as an independent political entity. Neither of the parties believed that comprehensive negotiations should be initiated on the refugee issue, because the solution to the refugee problem would still not solve the conflict.

Golda explained to Johnson that as long as the Arabs did not change their position on Israel's existence, there was no point in working to solve the refugee problem. Only after the Arabs recognized Israel's right to exist would the latter agree to participate in the resolution of the refugee problem, their resettlement, and so forth. In her explanation to Johnson, the foreign minister emphasized that if the principle of free choice were to be included in a solution to the refugee problem (UN General Assembly Resolution 194, Article 11), which effectively granted every refugee the right to return to his or her place of residence before the war, if he or she so wished, Israel would not be willing to cooperate in the process.

At the same cabinet meeting, Golda also discussed the report submitted by UNRWA director John Davis, whom everyone involved, including the Americans, considered to be so radically pro-Arab that he needed to be replaced. Davis, the foreign minister grumbled, was supposed to carry out a census but didn't, and therefore could not say how many refugees there were, though he was able to say with certainty that every one of the refugees wanted to return to Palestine. He could also say for sure that they could not be absorbed in their countries of residence, because they were